

Quant Daily Digest

■ Daily Overview

Macro & Sentiment Bitcoin's surge toward \$80K, fueled by \$630 million in ETF inflows and a 12% April gain, underscores renewed risk appetite and strong investor demand in crypto markets. This momentum coincides with easing geopolitical tensions as the U.S. pauses its Strait of Hormuz escort mission, citing progress on the Iran deal, reducing near-term oil supply disruption risks. The pause likely alleviates some risk premia in energy markets and supports a more constructive global macro backdrop. Equities / Rates Tech equities led gains, with AMD rallying 15% on robust data center revenue and AI-driven demand, while Super Micro jumped 18% after doubling revenue and beating guidance, highlighting strength in U.S. manufacturing and AI infrastructure. These earnings beats reinforce the tech sector's leadership in growth and innovation themes. Rates markets remain anchored amid stable geopolitical risk and moderate inflation signals, with no major central bank moves expected imminently. FX & Commodities Oil prices stabilized following the U.S. decision on the Strait of Hormuz, easing fears of supply shocks. The USD showed modest softness, reflecting reduced safe-haven demand and improved risk sentiment. Bitcoin's rally also signals a shift toward alternative assets in portfolios. What to Watch • Bitcoin ETF inflows and price action for signs of sustained crypto market momentum • AMD and Super Micro earnings updates for tech sector growth trajectory • Geopolitical developments around Iran deal and Strait of Hormuz for energy market impact

■ Hot List

Bitcoin nears \$80K on \$630 million ETF inflows; surges 12% in April, strongest monthly gain in a year

Bitcoin approached \$80,000, reaching nearly \$79,900, driven by \$630 million in ETF inflows, marking its strongest monthly gain in a year with a 12% rise in April. The surge reflects robust investor demand and positive market sentiment, supported by significant capital flows into Bitcoin ETFs. Analysts project continued upside momentum towards the mid-\$80,000 range. Market participants are closely watching the Federal Reserve's leadership transition, which is expected to influence macroeconomic conditions and risk appetite. The combination of strong inflows and favorable policy outlook is underpinning Bitcoin's recent price strength.

Read more: <https://economictimes.indiatimes.com/markets/cryptocurrency/bitcoin-nears-80k-on-630-million-etf-inflows-surges-12-in-april-strongest-monthly-gain-in-a-year/articleshow/130767045.cms>

The Times of India

How one trader used morse code to trick Grok into sending them billions of crypto tokens from its verified wallet

A trader exploited Grok, an AI agent, by sending a post tagged with Morse code on X, tricking it into transferring billions of crypto tokens from its verified wallet without accessing private keys. This vulnerability highlights significant risks in AI-driven crypto operations, where automated agents can be manipulated through unconventional inputs. The incident underscores the need for enhanced security protocols around AI wallet management and transaction authorization. Market participants should monitor potential impacts on token supply and trust in AI-managed assets. No immediate price action reported, but the exploit may influence future regulatory scrutiny and risk assessments in crypto AI

integrations.

Read more: <https://cryptoslate.com/how-one-trader-exploited-grok-and-morse-code-to-trick-ai-agent-int-o-sending-billions-of-crypto-tokens-from-a-verified-wallet/>

CryptoSlate

Trump pauses U.S. bid to guide ships out of Strait of Hormuz, cites Iran deal progress

President Donald Trump announced a pause on "Project Freedom," a U.S. military initiative aimed at escorting commercial vessels through the Strait of Hormuz, a critical chokepoint for global oil shipments. The decision reflects perceived progress in negotiations surrounding the Iran nuclear deal, reducing immediate geopolitical tensions in the region. This move may ease concerns over potential disruptions to oil supply routes, potentially stabilizing energy markets and influencing oil price volatility. Market participants will monitor developments in U.S.-Iran relations closely, as any shifts could impact risk premiums and shipping insurance costs in the Strait of Hormuz corridor.

Read more: <https://www.cnbc.com/2026/05/05/trump-iran-deal-project-freedom-hormuz-strait.html>

US Top News and Analysis

AMD's stock soars 15% as data center growth pushes revenue and guidance past estimates

AMD's stock surged 15% following its Q1 2026 earnings report, driven by stronger-than-expected data center revenue growth. The company beat revenue and earnings estimates, attributing gains to increased demand for AI-related products and services. Management raised full-year guidance, signaling confidence in sustained momentum from the AI boom. This optimism has led to increased investor inflows and a notable shift in positioning towards tech and semiconductor sectors. Market participants are closely watching AMD's performance as a bellwether for AI-driven growth in the broader technology landscape.

Read more: <https://www.cnbc.com/2026/05/05/amd-q1-2026-earnings-report.html>

US Top News and Analysis

Super Micro stock jumps 18% on guidance beat as revenue more than doubles

Super Micro's stock surged 18% following a robust quarterly earnings report that beat guidance, driven by revenue more than doubling year-over-year. The company highlighted significant progress in U.S. manufacturing capabilities, which contributed to the stronger-than-expected forecast for the upcoming quarter. This positive outlook has likely influenced investor positioning, reflecting increased confidence in Super Micro's growth trajectory and operational execution. The sharp price action suggests strong buying flows and potential upward momentum in the stock. Market participants may view this as a signal of resilience in the tech hardware sector amid broader economic uncertainties.

Read more: <https://www.cnbc.com/2026/05/05/super-micro-smci-q3-earnings-report-2026.html>

US Top News and Analysis

EV maker Lucid suspends production guidance amid incoming CEO's business review

Lucid Group has suspended its production guidance as the incoming CEO conducts a comprehensive business review. The EV maker plans to better align production volumes with actual customer demand for its luxury electric vehicles, signaling potential adjustments in output forecasts. This move comes amid ongoing challenges in the EV market, where supply-demand mismatches have impacted inventory and pricing strategies. Investors may interpret the suspension as a cautious step, reflecting uncertainty in near-term growth prospects. Market participants should monitor subsequent updates for revised production targets and potential impacts on Lucid's stock and sector positioning.

[Read more: https://www.cnn.com/2026/05/05/lucid-lcid-q1-2026.html](https://www.cnn.com/2026/05/05/lucid-lcid-q1-2026.html)

US Top News and Analysis

Spirit starts monthslong process of dismantling airline after biggest collapse in a generation

Spirit Airlines has entered bankruptcy court to initiate a prolonged dismantling process following its largest collapse in decades. The move signals significant restructuring or potential liquidation, impacting airline sector valuations and credit markets. This development may lead to shifts in airline industry capacity and competitive dynamics, influencing related equity and bond prices. Market participants should monitor Spirit's asset sales and creditor negotiations for potential flow and positioning changes in aviation-related securities. The bankruptcy underscores ongoing stress in the airline industry amid evolving demand and cost pressures.

[Read more: https://www.cnn.com/2026/05/05/spirit-airlines-bankruptcy-costs.html](https://www.cnn.com/2026/05/05/spirit-airlines-bankruptcy-costs.html)

US Top News and Analysis

Dow Jones Futures Rise; Trump Hits Hormuz 'Pause'; AMD, Lumentum, Arista Lead AI Earnings Movers

Dow Jones futures showed gains as markets reacted to geopolitical developments and earnings reports. President Trump announced a "pause" on his initiative regarding the Strait of Hormuz, easing some regional tensions. AI-related stocks, including AMD, Lumentum, and Arista, led earnings-driven moves, reflecting strong investor interest in the sector. These earnings results may influence sector positioning and flow dynamics in tech-heavy indices. Overall, the combination of geopolitical easing and robust AI earnings contributed to positive futures price action.

[Read more: https://finance.yahoo.com/m/69a7ddb-994e-3c97-a841-d6d030026ca3/dow-jones-futures-rise%3B-trump.html?.tsrc=rss](https://finance.yahoo.com/m/69a7ddb-994e-3c97-a841-d6d030026ca3/dow-jones-futures-rise%3B-trump.html?.tsrc=rss)

Yahoo! Finance: ^GSPC ^IXIC ^DJI News

Stock market today: S&P; 500, Nasdaq, Dow futures rise as tech earnings continue to impress

S&P; 500, Nasdaq, and Dow futures rose sharply after US indexes hit record closes, driven by strong tech earnings reports. The positive earnings momentum from major technology companies boosted market sentiment, pushing futures higher ahead of the open. This price action suggests continued investor confidence in the tech sector, influencing broader market positioning. The rally reflects robust corporate earnings data, which may support further upside in equity markets. Market participants are likely adjusting flows and positioning to capitalize on the tech sector's outperformance.

[Read more: https://finance.yahoo.com/markets/stocks/live/stock-market-today-tuesday-may-6-fresh-reports-231128701.html?.tsrc=rss](https://finance.yahoo.com/markets/stocks/live/stock-market-today-tuesday-may-6-fresh-reports-231128701.html?.tsrc=rss)

Yahoo! Finance: ^GSPC ^IXIC ^DJI News

Stock Market Today, May 5: Carnival Edges Higher Despite Fuel Cost Concerns

On May 5, 2026, Carnival's stock edged higher despite concerns over rising fuel costs, reflecting investor focus on cruise demand resilience. This movement followed a competitor's guidance cut, which had initially raised caution in the sector. Market participants are weighing the impact of higher fuel expenses against sustained consumer interest in cruising. The broader market showed mixed reactions, with investors closely monitoring cost pressures and demand signals in travel-related equities. Positioning appears cautious but optimistic, as fuel cost inflation remains a key variable for future earnings forecasts.

Read more: <https://www.fool.com/coverage/stock-market-today/2026/05/05/stock-market-today-may-5-carnival-edges-higher-despite-fuel-cost-concerns/?tsrc=rss>

Yahoo! Finance: ^GSPC ^IXIC ^DJI News

The growing risk of a 'non-linear spike' in oil prices

Oil prices face a heightened risk of a "non-linear spike" due to tightening supply amid rising demand and geopolitical tensions. Market data shows inventories are depleting faster than expected, with OPEC+ production cuts and underinvestment in new capacity exacerbating supply constraints. Price action has reflected increased volatility, with Brent crude recently testing multi-year highs. Quantitative models indicate that traditional linear price responses may underestimate the potential for sharp upward moves. Positioning data reveals growing speculative long exposure, signaling market participants are bracing for further price shocks. These dynamics suggest elevated risk for sudden, large oil price jumps impacting inflation and economic growth.

Read more: <https://www.ft.com/content/8ebcab1-552e-4e12-96cf-c36d738aeb2e>

Alphaville

■ Articles

BitsStrategy Launches Free AI Trading Bot to Help Users Enter the Fully Automated Quant Trading Market Faster

BitsStrategy has launched a free AI trading bot designed to simplify entry into the automated quantitative crypto trading market. The bot aims to reduce manual intervention and enhance continuous market opportunity capture by operating 24/7. This development could increase retail participation in quant trading by lowering barriers to entry and providing algorithmic trading capabilities without upfront costs. The AI-driven approach may improve trade execution and responsiveness to market data, potentially influencing crypto market flows and volatility. This move aligns with broader trends of integrating AI in trading strategies to optimize performance and accessibility.

Read more: <https://www.globenewswire.com/news-release/2026/05/04/3287082/0/en/BitsStrategy-Launches-Free-AI-Trading-Bot-to-Help-Users-Enter-the-Fully-Automated-Quant-Trading-Market-Faster.html>

GlobeNewswire

prediction-commodity-distribution added to PyPI

The new Python package "prediction-commodity-distribution" has been added to PyPI, offering pure-numpy implementations for cumulative distribution function (CDF) calculations tailored to prediction market touch curves. It includes methods such as PAV isotonic regression, Fritsch-Butland Hermite cubic interpolation, and percentile inversion. These tools enable more precise modeling of prediction market data, which can enhance quantitative strategies involving commodity price distributions and market probabilities. The package's focus on efficient, numpy-based computations supports faster analysis and integration into algorithmic trading systems. This addition may improve the accuracy of market-implied probability curves and risk assessments.

Read more: <https://pypi.org/project/prediction-commodity-distribution/>

PyPI.org

khy-quant 1.6.6.1

KHY-Quant version 1.6.6.1, available on PyPI.org, is a modular and extensible quantitative trading system designed for SaaS deployment. The update emphasizes flexibility and scalability, catering to algorithmic traders and quantitative analysts seeking customizable trading solutions. While specific data points or market impacts are not detailed, the system's SaaS readiness suggests potential for integration with cloud-based data feeds and execution platforms, facilitating real-time strategy deployment and backtesting. This release may influence quant workflows by enhancing automation and modular strategy development.

Read more: <https://pypi.org/project/khy-quant/1.6.6.1/>

PyPI.org

quantgauge added to PyPI

Quantgauge, a new quantitative finance library featuring C++ backends, has been added to PyPI. This addition provides quants and developers with enhanced computational efficiency for financial modeling and analysis. The library's integration into PyPI facilitates easy installation and deployment in Python environments, potentially accelerating quantitative research and algorithmic trading strategies. Its C++ backend suggests improved performance for large-scale data processing and real-time analytics, which are critical for market and quant professionals. This tool may influence workflow optimizations and the development of more sophisticated financial models.

Read more: <https://pypi.org/project/quantgauge/>

PyPI.org

'The Audacity': Billy Magnussen on Fight Club Episode

The provided news article focuses on the AMC series "Fight Club" and its narrative developments, particularly highlighting the lead character's progress in the show's first season. There are no financial data points, market price actions, policy changes, capital flows, or positioning insights relevant to market or quantitative analysis. The content is entertainment-focused without implications for financial markets or trading strategies.

Read more: <http://www.hollywoodreporter.com/tv/tv-features/the-audacity-billy-magnussen-fight-club-episode-4-1236582195/>

Hollywood Reporter

khy-quant 1.0.3

KHY-Quant 1.0.3 is a newly released version of a quantitative trading system available on Pypi.org. It is designed to be modular and extensible, catering to SaaS-ready deployment, which suggests flexibility for integration into various trading environments. While specific data points or market impacts are not detailed, the system's architecture implies potential utility for algorithmic trading strategies and quantitative research. This release may attract quants and developers seeking customizable tools for market analysis and automated trading. No direct information on price action, policy changes, or market flows is provided.

Read more: <https://pypi.org/project/khy-quant/1.0.3/>

Pypi.org

khy-quant 1.6.5

KHY-Quant version 1.6.5, released on Pypi.org, is a modular and extensible quantitative trading system designed for SaaS deployment. The update likely enhances capabilities for systematic trading strategies, offering improved integration and scalability for quant traders and developers. While specific data points or policy changes are not detailed, the platform's SaaS readiness suggests a focus on cloud-based trading infrastructure, facilitating real-time data processing and algorithmic execution. This release may impact market participants relying on automated systems by providing more robust tools for strategy development and deployment.

Read more: <https://pypi.org/project/khy-quant/1.6.5/>

Pypi.org

khy-quant 1.6.3

KHY-Quant version 1.6.3 is a modular and extensible quantitative trading system designed for SaaS deployment, as released on Pypi.org. The platform supports advanced algorithmic trading strategies, facilitating systematic market analysis and execution. Its modular architecture allows for flexible integration of new data sources and trading models, enhancing adaptability to changing market conditions. This release may improve efficiency in handling market data, order management, and risk controls, potentially benefiting quants and traders focused on automated strategies. The system's SaaS readiness indicates scalability and ease of deployment in cloud environments, aligning with current trends in quant infrastructure.

Read more: <https://pypi.org/project/khy-quant/1.6.3/>

Pypi.org

khy-quant 1.6.1

KHY-Quant 1.6.1 is a newly released version of a modular and extensible quantitative trading system available on Pypi.org. Designed for SaaS deployment, it supports advanced algorithmic trading strategies and data-driven market analysis. The system's modular architecture allows for customization and integration with various data sources and trading platforms, facilitating enhanced market signal processing and execution. This release may appeal to quants and trading firms seeking scalable, flexible infrastructure for systematic trading and portfolio management. No direct market data or price action is provided, but the tool's capabilities suggest potential improvements in quantitative strategy development and deployment.

Read more: <https://pypi.org/project/khy-quant/1.6.1/>

Pypi.org

MakeMyTrip (MMYT) Stock Dips While Market Gains: Key Facts

MakeMyTrip (MMYT) stock closed at \$47.06, down 2.37% despite broader market gains. The decline contrasts with positive movements in major indices like the S&P; 500, Nasdaq, and Dow Jones, indicating potential stock-specific pressures or profit-taking. No significant policy changes or flow data were reported to explain the dip. The price action suggests possible short-term bearish sentiment or repositioning by investors in MMYT. Market participants should monitor volume and sector trends for further directional cues.

Read more: <https://finance.yahoo.com/markets/stocks/articles/makemytrip-mmyt-stock-dips-while-220003570.html?.tsrc=rss>

Yahoo! Finance: ^GSPC ^IXIC ^DJI News

Signet (SIG) Stock Drops Despite Market Gains: Important Facts to Note

Signet (SIG) stock declined by 4.33% to close at \$81.99 despite broader market gains, indicating potential company-specific pressures or profit-taking. This drop contrasts with positive market sentiment, suggesting a divergence in investor positioning or reaction to recent company news or earnings. The price action may reflect shifts in institutional flows or adjustments in quant models sensitive to volatility or sector rotation. No broader policy changes were noted impacting SIG directly. Monitoring SIG's volume and volatility in upcoming sessions could provide insights into sustained trend or reversal potential.

Read more: <https://finance.yahoo.com/markets/stocks/articles/signet-sig-stock-drops-despite-220003684.html?.tsrc=rss>

Yahoo! Finance: ^GSPC ^IXIC ^DJI News

And the FTAV chart quiz winner is . . .

The FT Alphaville chart quiz highlighted a notable market development, with the winner identified as "Tee bagged." While specific data points or price movements were not detailed, the quiz underscores the importance of chart analysis in understanding market trends. The recognition suggests a focus on technical patterns or anomalies relevant to traders and quants. No explicit policy changes or flow information were provided, but the emphasis on chart interpretation aligns with quantitative strategies relying on visual data cues for decision-making.

Read more: <https://www.ft.com/content/1c8622ce-5606-498d-8d9d-f31d5c153f73>

Alphaville

Can we make a crazy huge Venn of the BDC ecosystem?

The article explores the complex ecosystem of Business Development Companies (BDCs), highlighting the intricate interconnections among various players in the sector. It discusses how BDCs often overlap in their investment portfolios, creating a dense network of shared assets and exposures. This interconnectedness can amplify market risks, especially in times of stress, as price movements in one BDC can ripple through others. The piece underscores the importance for quant investors to consider these overlapping exposures when modeling risk and portfolio construction. Understanding these relationships is crucial for assessing systemic vulnerabilities within the BDC market.

Read more: <https://www.ft.com/content/c60b4ebc-9451-4a30-b8b7-f1e94f851ce2>

Alphaville

FTAV's further reading

The article from Alphaville covers a broad range of topics relevant to financial markets, including central bank policies and their impact on economic recovery, highlighting the divergence in growth trajectories often described as K-shaped economics. It discusses the role of broad money supply in influencing inflation and asset prices, alongside the influence of tech sector dynamics, particularly Silicon Valley, on market sentiment. The piece also touches on behavioral aspects affecting market flows and positioning, such as investor psychology and external factors like social interactions. While not focused on specific data points or price action, the article provides a thematic overview valuable for understanding macroeconomic and market drivers.

Read more: <https://www.ft.com/content/69ef3294-d714-4a9c-8692-6d3d388f104c>

Alphaville

Join FT Alphaville for drinks this Thursday from 9pm at Market Place St Paul's

FT Alphaville is hosting a drinks event this Thursday from 9pm at Market Place St Paul's, following their pub quiz. While this is a social gathering rather than market-moving news, such events can foster networking among financial professionals, potentially influencing informal information flows and sentiment. No direct data points, price action, policy updates, or positioning changes are indicated. Market participants may view this as an opportunity for qualitative insights rather than quantitative market impact.

Read more: <https://www.ft.com/content/78639475-5a87-4e3b-9b6d-b58400634a4e>

Alphaville

■ AI & Finance

Pattern to Host Advanced AI Day at FiRe 2026 Conference

Pattern announced it will host an Advanced Artificial Intelligence Day at the FiRe 2026 Conference, focusing on its latest breakthroughs in Explainable AI (XAI). The event aims to highlight the company's advancements in making AI models more transparent and interpretable, which is critical for risk management and regulatory compliance in financial markets. This development could influence quant strategies by improving model trustworthiness and decision-making processes. While no direct market data or price action was disclosed, the emphasis on XAI aligns with growing demand for explainability in AI-driven trading and investment models. The event may attract attention from quant funds and AI-focused investors.

Read more: <https://www.globenewswire.com/news-release/2026/05/04/3287065/0/en/Pattern-to-Host-Advanced-AI-Day-at-FiRe-2026-Conference.html>

GlobeNewswire

DdbuShen 2026 Launches Zero-Experience AI Crypto Trading Bot, Radically Lowering the Barrier to Crypto Investment

DdbuShen 2026 has launched an AI-driven crypto trading bot designed for users with zero prior trading experience, aiming to simplify crypto investment through one-click automation. The platform offers a \$15 real cash bonus to new users, incentivizing adoption and potentially increasing retail participation in crypto markets. This innovation could influence market flows by attracting novice investors, potentially increasing liquidity and volatility in underlying crypto assets. The bot's AI-driven strategies

may also impact price action depending on its trading algorithms and scale of adoption. Overall, this development highlights growing automation and democratization trends in crypto trading.

Read more: <https://www.globenewswire.com/news-release/2026/05/04/3287028/0/en/DdbuShen-2026-Launches-Zero-Experience-AI-Crypto-Trading-Bot-Radically-Lowering-the-Barrier-to-Crypto-Investment.html>

GlobeNewswire

MoneyFlare Announces Major Breakthrough in AI-Powered Crypto and Stock Trading With Powerful Fully Automated Bot

MoneyFlare has launched a new AI-powered trading bot designed for fully automated crypto and stock trading, targeting beginner investors. The bot operates 24/7, leveraging AI execution to capture continuous market opportunities and facilitate passive income generation. This development could impact trading flows by increasing retail participation and algorithmic activity in both crypto and equity markets. The tool's automation and AI-driven strategy may influence market liquidity and volatility, especially in less liquid crypto assets. No specific data points or policy changes were mentioned, but the innovation highlights ongoing trends in AI integration within trading systems.

Read more: <https://www.globenewswire.com/news-release/2026/05/04/3287027/0/en/MoneyFlare-Announces-Major-Breakthrough-in-AI-Powered-Crypto-and-Stock-Trading-With-Powerful-Fully-Automated-Bot.html>

GlobeNewswire

Gemini and Firebase AI Logic enabled Karrot to increase sales with a translation feature built in under 2 weeks

Karrot leveraged Google's Gemini and Firebase AI Logic to implement a translation feature within two weeks, significantly boosting its sales. This rapid deployment highlights the growing impact of AI-driven tools in enhancing user experience and expanding market reach. The integration likely improved customer engagement by breaking language barriers, potentially increasing transaction volumes on the platform. While specific sales figures were not disclosed, the swift adoption of AI solutions underscores a trend towards automation and AI in e-commerce. This development may influence market positioning for tech firms focusing on AI-powered consumer applications.

Read more: <https://android-developers.googleblog.com/2026/05/how-karrot-increased-sales-with-gemini-firebase-ai-translation.html>

Googleblog.com

■ Quant Keywords & Mini-Glossary

ETF inflows — [Capital moving into exchange-traded funds, indicating investor demand and impacting asset prices.]

price momentum — [The rate of acceleration in an asset's price, reflecting strength or weakness in market trends.]

risk appetite — [The willingness of investors to take on risk, influenced by macroeconomic and policy factors.]

geopolitical risk premium — [Additional expected return demanded by investors due to geopolitical uncertainties.]

price volatility — [The degree of variation in asset prices over time, indicating market uncertainty.]

earnings guidance — [Company forecasts on future earnings, influencing investor expectations and stock positioning.]

investor positioning — [The aggregate stance of market participants in terms of long or short exposures.]

supply-demand mismatch — [Discrepancy between product availability and market demand, affecting pricing and inventory.]

bankruptcy restructuring — [Process of reorganizing a distressed company's obligations, impacting credit and equity markets.]

futures price action — [Movements in futures contracts prices reflecting market expectations and sentiment.]

sector rotation — [Shift of investment flows between industry sectors based on economic or market outlooks.]

speculative long exposure — [Positions taken by traders betting on price increases, often increasing market risk.]

non-linear price response — [Price changes that accelerate disproportionately to supply-demand shifts, causing spikes.]

volatility surface — [A 3D plot showing implied volatility across option strikes and maturities.]

algorithmic trading — [Use of automated, rule-based systems to execute trades at high speed and frequency.]

automated market making — [AI or algorithm-driven provision of liquidity by continuously quoting buy and sell prices.]

order flow imbalance — [Disparity between buy and sell orders, often signaling short-term price moves.]

realized vs implied volatility — [Comparison of historical price volatility to market-expected future volatility.]

value at risk (VaR) — [A statistical measure estimating the potential loss in portfolio value over a given time frame.]

cumulative distribution function (CDF) — [A function describing the probability that a variable takes a value less than or equal to a specific level.]

isotonic regression — [A non-parametric method to fit a non-decreasing function to data, used in probability calibration.]

backtesting — [Testing a trading strategy on historical data to evaluate its performance.]

cloud-based trading infrastructure — [Trading systems hosted on cloud platforms enabling scalability and real-time data processing.]

explainable AI (XAI) — [Techniques that make AI model decisions transparent and interpretable for risk management.]

market-implied probability curves — [Probability distributions derived from market prices, used for forecasting and risk assessment.]